

claiming punitive damages as against the defendant doctor, the allegations in plaintiff's complaint are purely conclusionary and do not meet the requirements . . . “[.]” Similarly, something “more than the mere commission of a tort is always required for punitive damages. There must be circumstances of aggravation or outrage, such as spite or ‘malice,’ or a fraudulent or evil motive on the part of the defendant, or such a conscious and deliberate disregard of the interests of others that his conduct may be called wilful or wanton.” (*Taylor v. Superior Court of Los Angeles County* (1979) 24 Cal.3d 890, 894-895, internal citation and quotation marks omitted, emphasis omitted.)

Calendar Line 4

Case Name: *City of San Jose v. BW Macaw Group, Inc., et al.*

Case No.: 24CV446086

After full consideration of the evidence, the separate statements submitted by the parties, and the authorities submitted by each party, the court makes the following rulings:

Pursuant to Chapter 4.66 of the Municipal Code of the City of San Jose (“SJMC”), the City of San Jose (“City”) imposes a Cannabis Business Tax (“CBT”) on persons and businesses engaged in the sale, distribution and other enumerated transactional activities related to the operation or enterprise of cannabis products. (See complaint, ¶ 21.) Under the CBT, such businesses are required to obtain a business tax certificate from City pursuant to Chapter 4.76 of the SJMC, and to comply with all provisions of Chapter 4.66. (See complaint, ¶ 21.) The amount of the CBT imposed was 10% of the gross receipts arising out of cannabis transactions or activities. (See complaint, ¶ 22, citing SJMC § 4.66.250A.) At the end of each calendar month, each person or business subject to the CBT is required to prepare and file a tax return to City, stating the monthly gross receipts and remit the amount of the CBT owed; if the person or business fails to remit the owed CBT at that time, the tax becomes delinquent and penalties are

imposed. (See complaint, ¶¶ 22-23, citing SJMC §§ 4.66.260A, 4.66.280, 4.66.300A.) Pursuant to SJMC 4.66.53, City may audit and examine the books and records of persons engaged in the cannabis business to ascertain the CBT amount owed, and if a person refuses to make those documents available, City may make an assessment. (Complaint, ¶¶ 24-25.) Over the monthly periods of August 2017 through August 2023, defendant BW Macaw Group, Inc., d.b.a. Herbs, Herb’s Collective, Herbs Medical Dispensaries, Eaze Herbs, or Eaze (“BW”), owe City \$1,489,516.71, consisting of CBT principal, penalties, and interest, and other fees associated with operating a cannabis business, and interest under Chapter 4.66 continues to accrue through and after the filing of this suit. (See complaint, ¶¶ 28-34, exhs. A-D.) Defendant DNCN Holdings LLC (“DNCN”) is the parent company and alter ego of BW. (See complaint, ¶ 4.) Defendants David Dang Nguyen (“Nguyen”), and Ngan Kim Martin (“Martin”) are the owners, officers, managers of both DNCN and BW, controlling both entities and undercapitalizing BW, using it as a shell entity for DNCN and its funds for their own personal use. (See complaint, ¶¶ 5-8.)

On August 27, 2024, City filed a complaint against BW, DNCN, Nguyen, and Martin (collectively, “Defendants”), asserting causes of action for:

- 1) Collection of Cannabis Business Tax (against all defendants);
- 2) Collection of Business Fees (against all defendants);
- 3) Breach of written contract (against all defendants);
- 4) Constructive trust (against all defendants);
- 5) Conversion (against all defendants); and,
- 6) Fraudulent transfer (against DNCN, Nguyen and Martin).

City moves for summary adjudication of the first cause of action as to all defendants, and the second and third causes of action as to defendant BW.

CITY’S MOTION FOR SUMMARY ADJUDICATION

Plaintiff’s burden on summary adjudication

The moving party bears the initial burden of production to make a prima facie showing that there are no triable issues of material fact—one sufficient to support the position of the party in question that no more is called for. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850-851.) Plaintiffs moving for summary judgment bear the burden of persuasion that each element of the cause of action in question has been proved, entitling the party to judgment. (Code Civ. Proc. § 437c, subd.(p)(1).) Plaintiffs, who bear the burden of proof at trial by preponderance of evidence, therefore “must present evidence that would require a reasonable trier of fact to find the underlying material fact more likely than not—otherwise he would not be entitled to judgment as a matter of law, but would have to present his evidence to a trier of fact.” (*Aguilar, supra*, 25 Cal.4th at p.851.) ““Once the plaintiff... has met that burden, the burden shifts to the defendant... to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto.”” (*Thompson v. Ioane* (2017) 11 Cal.App.5th 1180, 1195 (Sixth District case), quoting Code Civ. Proc. § 437c, subd. (p)(1).)

Defendants concede that City is entitled to summary adjudication against BW.

In support of its motion, City presents: the declarations of San Jose Police Department Division Manager for the Division of Cannabis Regulation Wendy Solazzi, and City Department of Finance Program Manager Eric Warnars; BW’s applications to renew its registration to operate a cannabis business; notices of completed registration issued to BW; BW’s CBT tax returns; the payment plan agreement entered into by BW; and, a CBT audit assessment for BW. City also requests judicial notice of: SJMC sections 4.66.210(A), 1.04.020(J), 4.66.070(A), 4.66.250(A), 4.66.250(D), 4.66.260(A), 4.66.300(A), 4.66.550, 4.66.580, 6.88.380(A), and 6.88.380(B); San Jose Ordinance No. 29262; and, San Jose Resolution Nos. 72737 § 10.030, 75442 § 80, 80571 § 26, and RES2023-220 § 32. City’s request for judicial notice is GRANTED. (See Evid. Code § 452, subds. (a), (b), (c), (h); see also *The Kennedy Com. v. City of Huntington Beach* (2017) 16 Cal.App.5th 841, 852 (stating that “the court may take judicial notice of a city charter or municipal code”); see also *Madain v. City of Stanton* (2010) 185

Cal.App.4th 1277, 1280, fn.1 (taking judicial notice of relevant portions of municipal code pursuant to Evidence Code sections 459 and 452, subdivision (b)); see also *Mahon v. City of San Diego* (2020) 57 Cal.App.5th 681, 701, fn. 31 (taking judicial notice of ordinance); see also *Safe Life Caregivers v. City of Los Angeles* (2016) 243 Cal.App.4th 1029, 1041, fn. 11 (taking judicial notice of ordinance); see also *Evans v. City of Berkeley* (2006) 38 Cal.4th 1, 7 (California Supreme Court taking judicial notice of city of Berkeley resolution pursuant to section 452, subdivision (b)).)

In opposition to the motion, Defendants admit that City is entitled to summary adjudication against defendant BW:

Defendants do not dispute any of these claims with respect to BW.

Defendants acknowledge and concede that BW is liable for the collection of unpaid CBT, CBT Fees, and breach of contract.

(Defs.’ opposition to City’s motion for summary adjudication (“Opposition”), p.6:8-9.)

City’s motion for summary adjudication of the first through third causes of action is GRANTED as against defendant BW.

In reply, City concedes that it may not obtain summary adjudication against defendants DNCN, Nguyen and Martin.

In its reply papers, City likewise concedes that it may not obtain summary adjudication of the first cause of action against defendants DNCN, Nguyen and Martin:

Although Plaintiff Martin’s legal conclusion that an employment relationship existed is not entitled to any weight, Plaintiff

acknowledges that the remainder of Martin’s declaration does raise genuine issues of material fact regarding the existence of a possible employment relationship between BW Macaw and the remaining defendants.

(City’s reply brief, p.2:13-16.)

Further, City also acknowledges that while “liability can still be imposed pursuant to SJMC § 1.08.15.5 or under a theory of alter ego liability... summary adjudication has not been sought on either of these theories....” (City’s reply brief, p.2:18-25.)

Accordingly, City’s motion for summary adjudication of the first cause of action for collection of cannabis business tax is DENIED as to defendants DNCN, Nguyen and Martin.

City shall prepare and submit a proposed final order consistent with this tentative ruling.

Calendar Line 10

Case Name: Urquhart v. Cupertino Electric, Inc.

Case No.: 26CV485544

Defendant Cupertino Electric, Inc. (“Defendant”) moves to strike eleven images from the complaint and also moves to seal the complaint, its notice of motion and the supporting memorandum of points and authorities. In opposition, plaintiff Robert Urquhart (“Plaintiff”) argues that there is no rule that prohibits the insertion of graphic images and that the images are relevant as they illustrate the allegations. The Court agrees that images may be inserted into a complaint. It is not uncommon to have relevant images in a complaint such as a diagram of a product or the layout of an area at issue or even a photo of an email or website that is purported to contain defamatory statements. However, these “illustrative graphics” are not helpful for the Court or jury in understanding the allegations and are untethered to the specific instance alleged